

Facility Approval

Learn how lenders review and approve master commitments to activate credit facilities

Overview

Facility approval is the process where lenders review master commitments and approve them, activating the credit facility. This guide covers how lenders evaluate facilities, assess facility structure and terms, and make approval decisions that activate facilities for borrower use.

Who Can Use This

- Lenders who receive master commitments for approval

When This Is Used

Use facility approval when:

- Master commitments are submitted for your approval
- You need to evaluate facility proposals
- You want to activate credit facilities
- You're making facility participation decisions
- You're deciding whether to participate in facilities

Review Process

Accessing Master Commitments - When facility agents submit master commitments for lender approval, you receive notifications. Navigate to master commitments for approval, open master commitment details, and review all information provided.

Review Interface - The review interface provides comprehensive information about the master commitment, including all facility terms, rules, and lender configuration. You can review the complete facility structure to make informed decisions.

Reviewing Facility Information - Review complete facility information including facility terms (amount, interest rates, maturity), facility rules and parameters, borrowing base configuration and calculations, collateral eligibility and valuation methods, lender configuration, and overall facility structure.

Evaluating Facility Structure - Review facility amount, interest rates, and maturity, assess facility rules and parameters, review borrowing base configuration and calculations, evaluate collateral eligibility and valuation methods, and assess overall facility structure and complexity.

Reviewing Lender Configuration - Check your commitment amount, review your participation percentage, understand voting rights and decision-making, verify lender-specific terms, review other lenders' participation, and assess lender group structure.

Assessing Facility Setup - Evaluate facility setup completeness, review calculation methods, check rule definitions, verify configuration quality, and assess facility readiness.

Evaluating Risk and Return - Assess facility risk profile, evaluate borrower creditworthiness, review facility terms and conditions, assess return potential, and consider your risk tolerance.

Evaluation Criteria

Facility Structure Assessment - Evaluate facility terms (amount, rates, maturity), assess facility rules and parameters, review borrowing base configuration, check collateral rules and eligibility, and assess overall facility structure.

Lender Configuration Review - Verify your commitment amount and participation percentage, understand voting rights and decision-making, review lender-specific terms, check other lenders' participation, and assess lender group structure.

Facility Setup Quality - Evaluate facility setup completeness, review calculation methods, check rule definitions, verify configuration quality, and assess facility readiness.

Risk and Return Evaluation - Assess facility risk profile, evaluate borrower creditworthiness, review facility terms and conditions, assess return potential, and consider your risk tolerance.

Overall Facility Assessment - Consider all factors together, evaluate facility attractiveness, assess fit with your participation criteria, determine if facility should be approved, and make informed decision.

Making Decisions

Approve Master Commitment - Approve when facility meets your criteria: facility structure is sound, terms are appropriate, borrower is creditworthy, facility setup is complete, and risk-return profile is acceptable. Click Approve button, initiate electronic signature process, review master commitment document, complete electronic signature, confirm approval, facility becomes active (if first lender approval), status changes to ACTIVE, and parties receive notifications.

Reject Master Commitment - Reject when facility doesn't meet your criteria: facility structure concerns, terms are inappropriate, borrower creditworthiness issues, facility setup problems, or risk-return profile unacceptable. Click Reject button, provide rejection reason if needed, enter comments explaining rejection, confirm rejection, your rejection doesn't prevent other lenders from approving, and parties receive notifications.

Decision Documentation - Ensure all decisions are properly documented, provide clear reasons for decisions, include relevant comments or explanations, and maintain complete audit trail of decisions.

Rules & Validations

- Any lender approval activates the facility. You don't need all lenders to approve before facility becomes active.

- You can only approve master commitments pending approval. You cannot approve facilities that are already active or in other statuses.
- Electronic signature is required for approval. Your approval must be signed electronically for legal validity.
- Once approved, facility becomes active. Facility status changes to Active and borrowers can create funding requests.
- Your approval decision is tracked individually. Each lender's approval status is tracked separately.
- Rejection doesn't prevent activation. Other lenders can still approve and activate the facility.
- Decisions are final once submitted. You cannot easily reverse approval decisions.
- Complete audit trail. All approvals and rejections are recorded with timestamps and details.
- Borrower and facility agent notifications. Parties are notified when facilities are approved and activated.
- Individual tracking. Each lender's approval status is tracked independently.

What Happens Next

After approving a master commitment:

- Facility becomes active and operational (if first lender approval)
- Status changes to ACTIVE
- Borrowers can create funding requests
- Facility agent can manage active facility
- You can participate in funding
- Facility is fully functional

After facility activation:

- Borrowers create funding requests
- Facility agent reviews and approves requests
- Funding notices are generated

- You review and approve individual drawdowns
- Funds are transferred as you confirm
- Facility operates according to configured rules

After rejection:

- Your rejection is recorded
- Other lenders can still approve
- Facility may become active if other lenders approve
- You don't participate in the facility
- You can participate in future facilities

Understanding facility approval helps lenders effectively evaluate facilities, assess facility structure and terms, make informed participation decisions, and activate credit facilities for borrower use.